EM WEEKLY KICKSTART

MSCI EM fell 5% w/w, dragged by Tech/AI sell-off, while Non-tech stayed resilient; Korea fell 16%; Taiwan saw record outflows; Indonesia/Turkiye sell-off on MSCI Index announcement

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- **Performance:** MSCI EM fell 5% w/w, dragged down by North Asia/Tech sector (-11% wow) while non-tech stayed resilient (flat w/w). Among markets, Korea fell 16% amid sell-off in AI/memory names, pushing KOSPI to 4.2x forward P/E – its lowest level since 1999. Taiwan closed 5% lower, with the market seeing its largest single day net foreign selling in history on Oct 15 (-US$9.9bn). MSCI Indonesia fell 15% largely on the back of the MSCI announcement on Friday.
- **Earnings/valuations:** MXEF is trading at 9.4x fwd. P/E (-2.5 s.d., 10yr avg).
- **Flows:** EM equities saw significant FII outflows of US$27bn led by Taiwan (-US$19.2bn) and Korea (-US$8.3bn).

Focus: MSCI Reclassification; Brazil elections; 3Q Earnings

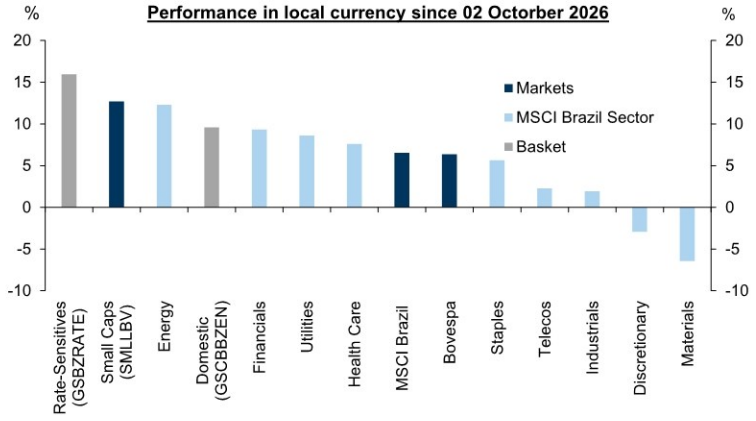
- **MSCI Reclassification**: On Oct 16, MSCI launched a consultation proposing reclassifying Indonesia directly from Emerging Market to Standalone status with a decision expected by June 2027. Separately, MSCI has frozen positive index changes for **Türkiye**, effective immediately, amid ongoing concerns over reliability of free float estimates and the treatment of affiliated-fund holdings. Indonesia plunged 14% while Turkiye fell 3% on the news.
- **Brazil Election Rally**: Earlier this week, we looked at the potential for further equity upside in Brazil on favourable policy delivery, benchmarking the current rally against prior election cycles and recent EM precedents - After Brazil's 2018 election, the Bovespa rose c.15% over six months, while small caps and rate-sensitive stocks gained c.30–40%. Colombia and Hungary also saw rallies following market-friendly elections this year, while South Africa underscores the importance of fiscal discipline in sustaining a rate-driven equity rally. With Brazil's valuations still at mid-cycle levels following the recent rally, room for foreign flows to pick up further and positioning relatively light in rate-sensitive domestic stocks, we see **scope for further gains** as policy clarity emerges. Rate-sensitives, select domestic cyclicals (financials - banks, capital markets), and Small caps appear best placed to position for further upside given high rate sensitivity and attractive growth/valuations trade-offs.
- **3Q Preview**: 3Q earnings season has kicked off this

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week, and will pick up momentum next week onwards. Consensus expects earnings growth of 71% YoY in 3Q26 — slower than ~90%+ in 2Q26 — driven by robust earnings growth in North Asia (+178%) and Tech (+236%). Ex-North Asia/Tech, earnings growth is expected to be 13-14%. Regionally, EM Europe (+25%) is also expected to deliver strong earnings, while MENA will be a drag (-3%). Earnings sentiment overall has improved over the past month.

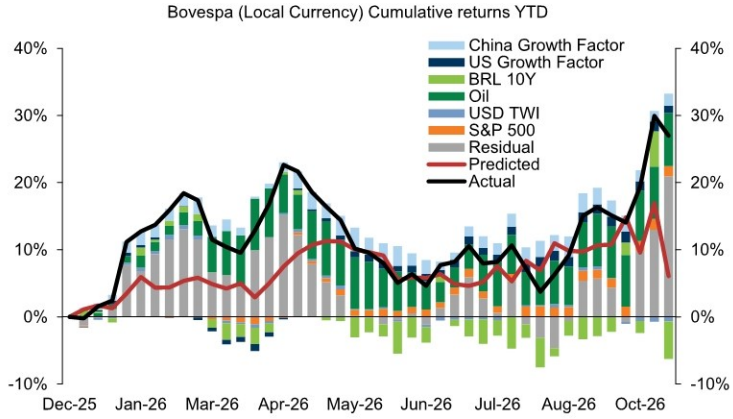
Focus: Brazil Equities: Benchmarking the Election Rally; Scope for Further Gains if Policy Delivers

Exhibit 1: Brazilian equities (Bovespa index) have rallied about 7% since first round election on last Sunday, led by rate-sensitive sectors



Source: Goldman Sachs Global Investment Research, FactSet

Exhibit 2: With the rally this week, the Bovespa index is trading above the implied move based purely on our cyclical macro model



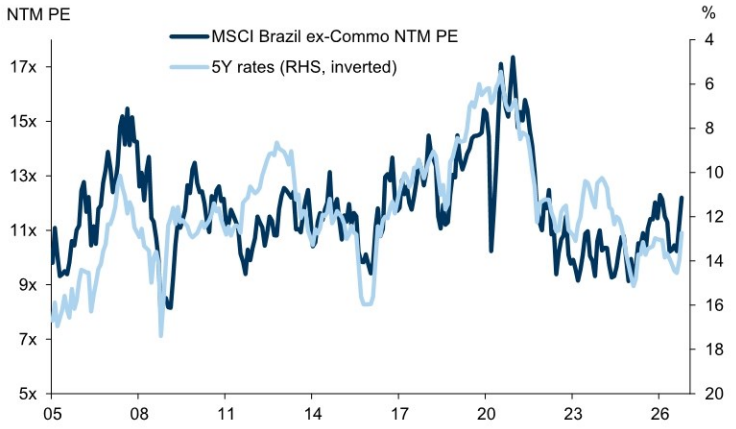
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 3: The moves this week in the broader market; rate-sensitive pockets and small caps are in line with the historical rate-sensitivities

Period	Chg in 5Y [bp]	Bovespa	BOVESPA Small Caps	GSBZRATE [rate sensitives]	Div Yield	GSCBBZEN [ex-commodities]	Div Yield	BRL/USD
Jan-10 — Aug-10	**-203**	0%	13%	0%	1%	1%	1%	6%
Jul-11 — Nov-12	**-298**	-2%	13%	14%	3%	2%	3%	-36%
Jan-14 — Aug-14	**-250**	29%	10%	18%	2%	24%	1%	8%
Dec-15 — Apr-18	**-639**	99%	110%	84%	6%	59%	5%	12%
Sep-18 — Oct-19	**-556**	35%	61%	79%	2%	63%	2%	-1%
Feb-23 — Jun-23	**-270**	13%	23%	39%	1%	25%	1%	8%
Dec-24 — Jun-25	**-170**	15%	26%	42%	2%	29%	1%	12%
Median	**-270**	**15%**	**23%**	**39%**		**25%**		**8%**
Post 2026 election (since 02 Oct)	-131	6%	13%	16%	0.2%	10%	0.2%	4%

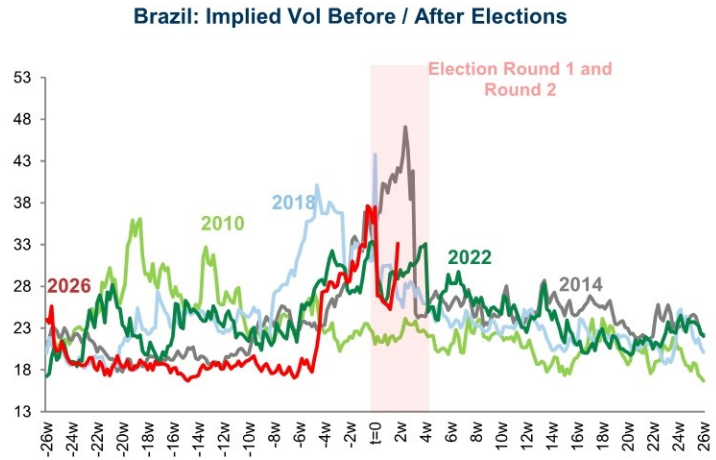
Source: FactSet, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 4: Current valuations for domestic Brazilian stocks have picked up post election but still low vs. history and could see re-rating if rates move lower over time



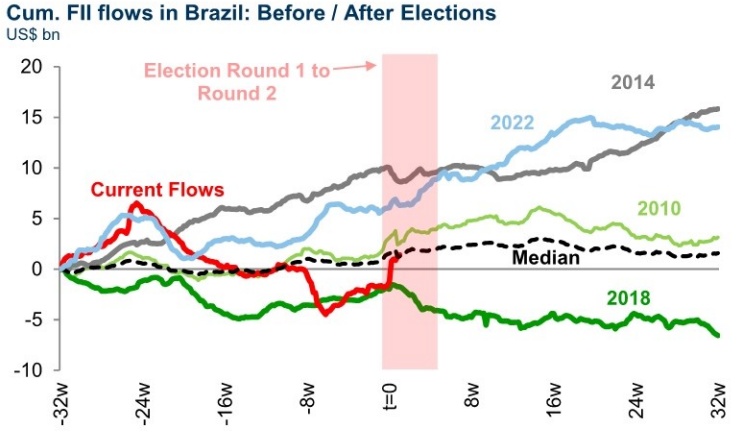
Source: FactSet, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 5: Election-linked volatility has picked up in recent weeks



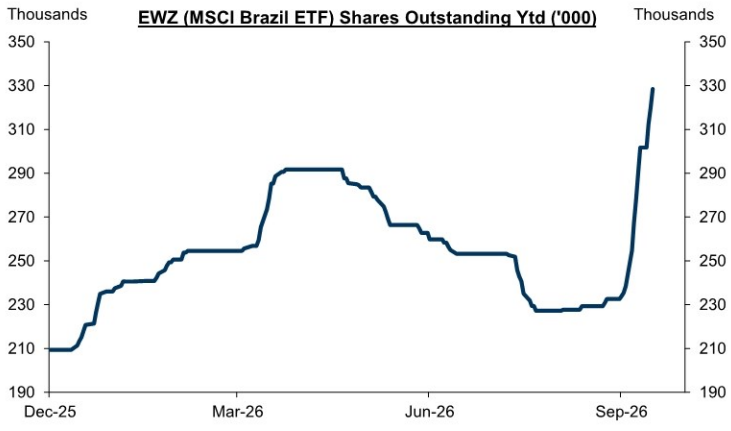
Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 6: Foreign inflows have picked up significantly this week (+US$2.2bn w/w) but have generally lagged so far relative to past election cycles



Source: Bloomberg, Goldman Sachs Global Investment Research

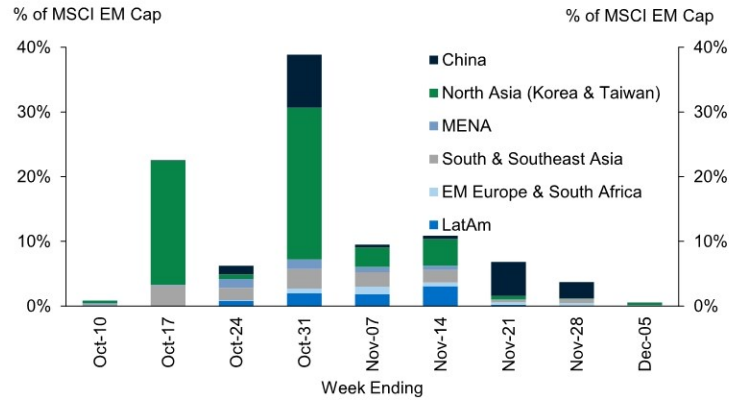
Exhibit 7: EWZ (MSCI Brazil ETF) net unit creation has picked up sharply post first round of elections this week



Source: Bloomberg, Goldman Sachs Global Investment Research

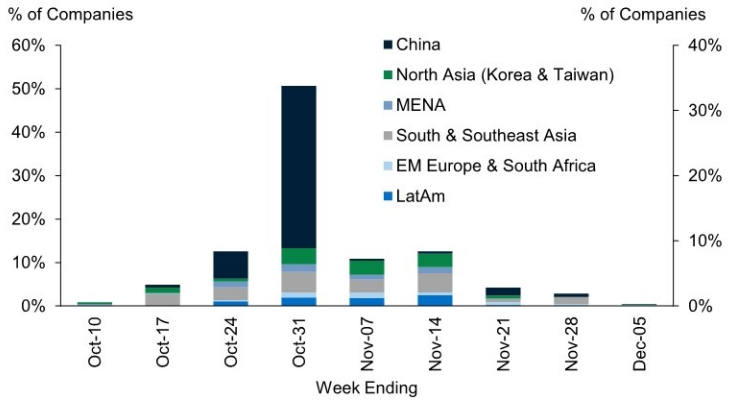
Focus: 3Q Earnings Preview

Exhibit 8: Bulk of EM market cap is scheduled to report 3Q earnings over the next few weeks



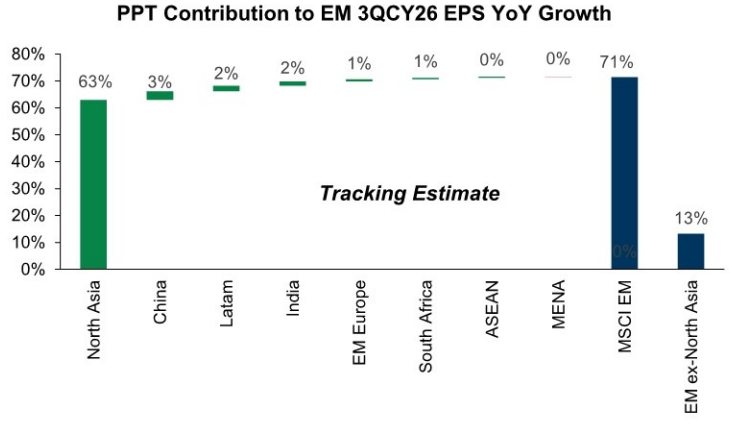
Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Exhibit 9: ...with the last week of October being the busiest earnings week



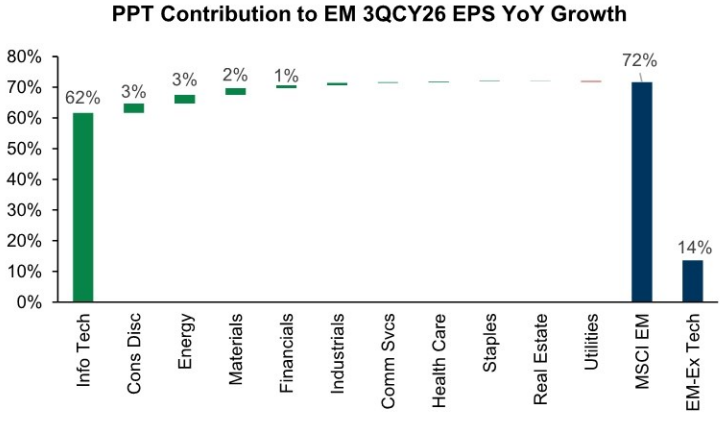
Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Exhibit 10: Consensus expects 3Q26 EPS to grow 71% yoy, led by North Asia; ex-North Asia growth is expected around ~13%



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 11: In addition to Info Tech, Cons Disc and commodity sectors are meaningfully contributing to 3Q EPS growth; ex-IT growth is expected to be ~14%



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 12: MSCI EM 2026/2027 EPS have been relatively flat over the past month

	EPS Growth		EPS Revision (1 Week)		EPS Revision (1 Month)	
	2026	2027	2026	2027	2026	2027
Brazil	39%	1%	-0.3%	-0.5%	1.2%	1.3%
Chile	-9%	7%	0.2%	-0.7%	2.1%	-0.2%
China	17%	17%	0.1%	0.1%	0.0%	0.0%
Colombia	24%	7%	0.6%	0.6%	1.6%	0.9%
Czech Republic	10%	-3%	-1.2%	-0.6%	-1.1%	-0.6%
Egypt	-2%	12%	0.0%	0.0%	-0.9%	0.0%
Greece	19%	8%	0.5%	0.3%	1.0%	0.8%
India	11%	16%	0.1%	0.0%	0.1%	-0.1%
Indonesia	2%	9%	0.2%	0.0%	0.0%	0.4%
Korea	337%	39%	-0.1%	0.2%	-1.0%	-0.1%
Kuwait	5%	4%	-0.1%	-0.2%	3.2%	1.4%
Malaysia	9%	6%	-0.3%	-0.2%	0.9%	-0.2%
Mexico	10%	7%	0.1%	0.6%	1.5%	1.5%
Peru	25%	9%	0.0%	0.7%	-0.7%	0.1%
Philippines	3%	11%	0.4%	0.4%	0.0%	-0.2%
Poland	48%	2%	0.0%	0.2%	0.8%	1.3%
Qatar	-4%	17%	-0.4%	-0.3%	-1.5%	-1.1%
Saudi Arabia	8%	10%	-0.7%	-0.1%	-2.0%	-1.3%
South Africa	32%	15%	-0.1%	-0.2%	0.1%	-0.5%
Taiwan	67%	31%	0.6%	1.1%	1.2%	2.3%
Thailand	18%	2%	1.1%	0.6%	1.4%	0.8%
Hungary	16%	5%	0.0%	0.0%	0.3%	-0.2%
Turkiye	49%	45%	-0.9%	0.1%	1.4%	1.4%
UAE	2%	12%	0.1%	0.0%	1.6%	2.3%
MSCI EM	**73%**	**29%**	**0.0%**	**0.3%**	**-0.1%**	**0.4%**

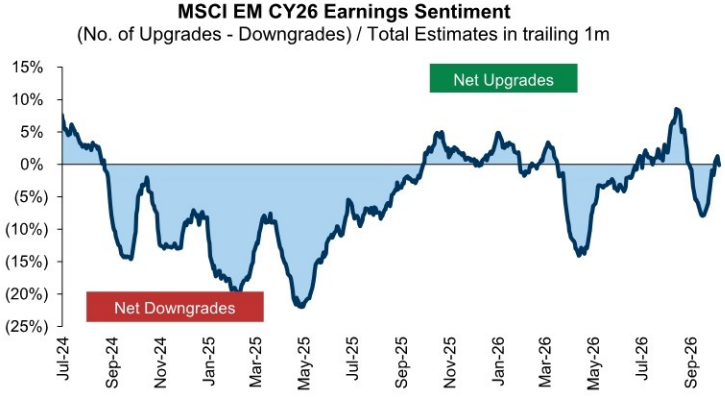
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 13: Headline index level EPS integer continues to be revised higher



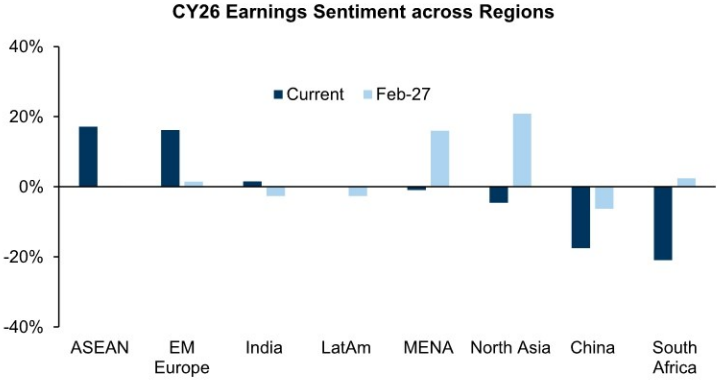
Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

Exhibit 14: CY2026 earnings sentiment has turned positive



Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

Exhibit 15: Since Feb, earnings sentiment has improved in ASEAN, EM Europe, and India, but remains depressed in South Africa, China



Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

Allocation and Key Market Views

Exhibit 16: Our market preferences emphasize diversification; We remain OW tech-heavy Taiwan, Korea, and idiosyncratic stories like Brazil, South Africa, Hungary and Greece

Allocation	Market	MSCI EM Weight (%)	Index	Index Level 10/15/2026	EPS Growth (%) CY2026	EPS Growth (%) CY2027	GS Index Target (12m)	12m Total Return Forecast (%) Local Idx Return	FX Return	Div. Yield	USD Total Return
Overweight	Taiwan	29.7%	TWSE	46,970	70%	32%	57,500	**22%**	3%	2%	**28%**
	Korea	19.2%	KOSPI	5,554	350%	38%	12,000	**116%**	0%	2%	**120%**
	Brazil*	4.8%	IBOV	204,324	30%	5%	215,000	**5%**	6%	6%	**12%**
	South Africa	2.9%	JSE 40	102,393	37%	9%	122,000	**19%**	5%	5%	**32%**
	Greece	0.6%	ASE	2,582	13%	9%	2,900	**12%**	-1%	5%	**17%**
	Hungary*	0.3%	BUX	144,455	13%	8%	170,000	**18%**	5%	4%	**24%**
Market-Weight	China	20.1%	MXCN	72	8%	12%	80	**11%**	1%	3%	**16%**
	India	11.0%	NIFTY	22,997	9%	13%	25,800	**12%**	-1%	2%	**13%**
	Saudi Arabia	2.3%	SASEIDX	10,107	9%	8%	12,000	**19%**	0%	5%	**24%**
	Mexico	1.6%	MEXBOL	67,663	11%	6%	72,000	**6%**	7%	4%	**19%**
	Poland*	1.2%	WIG	158,581	38%	5%	165,000	**4%**	3%	4%	**7%**
	UAE	1.2%	DFMGI	5,830	-1%	13%	6,300	**8%**	0%	5%	**14%**
	Malaysia	0.9%	FBMKLCI	1,624	8%	8%	1,800	**11%**	2%	3%	**16%**
	Chile*	0.4%	IPSA	11,003	-7%	6%	11,500	**5%**	14%	3%	**19%**
	Turkey	0.4%	XU100	12,070	40%	33%	15,000	**24%**	-16%	4%	**8%**
	Colombia	0.2%	COLCAP	2,581	23%	10%	2,400	**-7%**	-1%	6%	**-2%**
	Egypt	0.1%	EGX30	52,273	-1%	8%	54,000	**3%**	0%	6%	**9%**
Under Weight	Thailand	0.9%	SET	1,573	18%	4%	1,660	**6%**	2%	3%	**11%**
	Indonesia	0.4%	JCI	5,864	0%	8%	6,300	**7%**	-3%	8%	**13%**
	Kuwait	0.5%	MSCI Kuwait	957	-5%	5%	950	**-1%**	0%	4%	**3%**
	Qatar	0.4%	DSM	8,810	-2%	8%	10,000	**14%**	0%	6%	**20%**
	Philippines	0.2%	PCOMP	5,663	0%	8%	6,000	**6%**	2%	3%	**11%**
	Peru	0.4%	MSCI Peru	4,133	18%	3%	3,600	**-13%**	4%	3%	**-7%**
	Czech Rep.	0.1%	PX	2,650	7%	-2%	2,500	**-6%**	0%	5%	**-1%**
	EM (USD)		MSCI EM	**1,608**	**65%**	**20%**	**2,000**	**23%**	**1%**	**3%**	**28%**

*Total Return Index; FX return is the average of GS 12m FX forecast and 12m fwd pricing; sorted by MSCI EM weight (%)

Source: FactSet, Goldman Sachs Global Investment Research

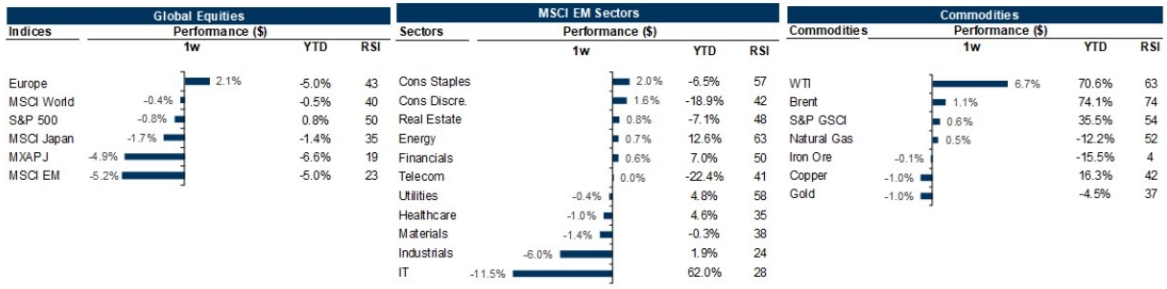
Exhibit 17: EM Sector Allocations: Our sector allocations are procyclical and emphasize our core themes; We are overweight Tech H/W, Banks, Cap Goods and Metals & Mining.

			Consensus estimates			Current Valuations			Performance
MSCI EM Sectors	GS Allocation	MSCI EM weight (%) Ascending	CY26E EPS growth (yoy)	CY27E EPS growth (yoy)	CY26-27 EPS CAGR (%)	NTM P/E (x)	LTM P/B (x)	PEG Ratio (2026 P/E / 2027 EPSg)	YTD returns (%, USD)
Tech Hardware & Semis	OW	42%	51	13	30	7.9x	4.4x	0.6	66%
Banks	OW ↑	15%	10	10	10	9.2x	1.2x	0.9	8%
Capital Goods	OW ↑	4%	29	13	21	9.4x	2.2x	0.7	4%
Metals & Mining	OW	4%	10	3	6	9.4x	2.0x	3.7	13%
Consumer Retail & Services	MW	15%	32	25	28	12.0x	1.7x	0.5	8%
Insurance & Other Financials	MW	5%	6	7	7	9.4x	1.3x	1.4	-22%
Internet/Media & Entertainment	MW ↓	4%	14	12	13	11.8x	2.0x	1.0	13%
Energy	MW ↓	4%	(11)	(3)	(7)	8.9x	1.4x	-3.0	13%
Consumer Staples	MW	3%	11	11	11	17.1x	3.1x	1.6	-7%
Telecommunication Services	MW	2%	12	12	12	14.7x	2.7x	1.2	-2%
Utilities	MW	2%	10	10	10	14.4x	1.6x	1.4	5%
Chemicals & Other Materials	MW ↑	3%	17	24	20	15.0x	1.7x	0.6	3%
Real Estate	MW	2%	19	14	16	9.2x	1.0x	0.7	-19%
Autos & Components	UW	2%	30	17	23	10.4x	1.3x	0.6	-19%
Health Care	UW	3%	16	23	19	26.3x	3.9x	1.1	3%
Transportation	UW	1%	8	12	10	13.2x	1.8x	1.1	4%
Software & Services	UW	1%	6	13	9	19.6x	3.7x	1.5	-32%
Emerging Markets (MSCI EM)		**100%**	**29**	**12**	**20**	**9.4x**	**2.2x**	**0.8**	**14%**

Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Performance Snapshot: Regions, Markets, Commodities and FX

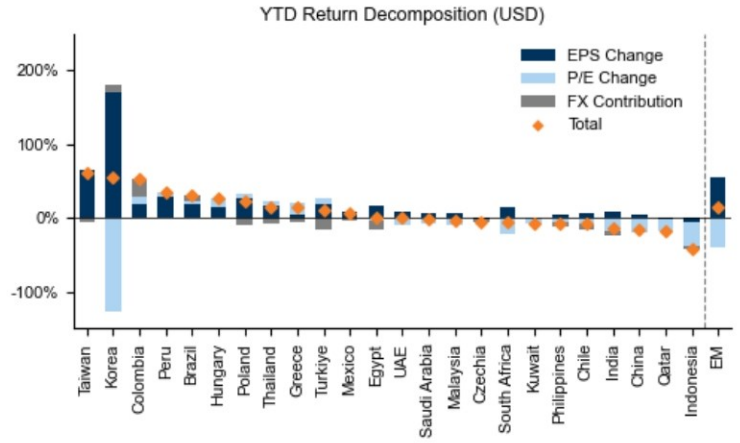
Exhibit 18: Price performance of MSCI market and regional indices
Updated on October 16, 15:10 PM GMT



MSCI EM Markets								
Indices		Equities Performance					Currency	
	Weight	1w	YTD	YTD ($)	RSI		Spot	1w Chg
	(%)	(loc)	(loc)	($)				(%)
Hungary	0.3%	4%	27%	0%	38		324.7	-0.6%
Czech	0.1%	3%	0%	2%	41		21.7	-0.2%
Mexico	1.7%	3%	7%	4%	51		18.4	0.4%
Colombia	0.2%	3%	52%	6%	63		3164.4	-0.9%
India	11.5%	2%	-9%	2%	47		95.1	-1.7%
Greece	0.6%	2%	22%	-10%	35		0.9	0.0%
South Africa	3.1%	2%	-6%	2%	43		16.5	-0.1%
UAE	1.3%	2%	0%	-2%	35		3.7	0.0%
Philippines	0.3%	2%	2%	1%	38		63.1	0.4%
Poland	1.2%	1%	34%	0%	46		3.9	-0.5%
Peru	0.4%	0%	37%	2%	47		3.4	-0.8%
Egypt	0.1%	0%	13%	-4%	21		53.4	2.0%
Thailand	1.0%	0%	23%	1%	30		33.5	-0.1%
Malaysia	0.9%	0%	-4%	-3%	31		4.1	-0.1%
Kuwait	0.6%	-1%	-6%	-4%	11		0.3	0.0%
Chile	0.4%	-1%	-8%	-2%	33		983.9	0.6%
Qatar	0.4%	-1%	-18%	-4%	15		3.6	0.0%
China	20.4%	-2%	-15%	-2%	35		6.7	0.0%
Saudi Arabia	2.4%	-2%	-2%	-9%	26		3.8	-0.1%
Turkiye	0.4%	-3%	24%	1%	34		49.4	0.2%
Brazil	4.9%	-3%	31%	13%	76		5.0	1.1%
Taiwan	29.3%	-5%	66%	-4%	34		32.4	1.6%
MSCI EM	-	-5%	15%	-5%	23		-	-
Indonesia	0.5%	-15%	-47%	-16%	38		17925.0	0.3%
Korea	18.0%	-16%	48%	-18%	12		1345.3	0.2%

Source: Bloomberg, FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 19: MSCI EM returns since start of the year have been earnings-driven



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 20: EM Regional market performance

Annual Returns in USD	North Asia	LatAm	EM Europe	MENA	S. Africa	ASEAN	India	China
2015	(11%)	(33%)	(31%)	(24%)	(27%)	(21%)	(7%)	(10%)
2016	10%	28%	(5%)	4%	15%	6%	(3%)	(1%)
2017	36%	21%	40%	1%	33%	24%	37%	51%
2018	(18%)	(9%)	(26%)	12%	(27%)	(10%)	(9%)	(20%)
2019	20%	15%	3%	5%	7%	3%	6%	21%
2020	40%	(16%)	(14%)	(6%)	(6%)	(9%)	14%	27%
2021	6%	(14%)	0%	30%	1%	(5%)	25%	(23%)
2022	(32%)	0%	(9%)	(7%)	(7%)	(3%)	(9%)	(24%)
2023	24%	25%	25%	2%	(2%)	(5%)	20%	(13%)
2024	7%	(30%)	1%	1%	4%	(2%)	11%	16%
2025	55%	46%	49%	2%	73%	1%	3%	28%
1W	(12%)	(2%)	1%	(1%)	2%	0%	4%	(2%)
YTD	59%	22%	18%	(4%)	(7%)	(11%)	(14%)	(16%)

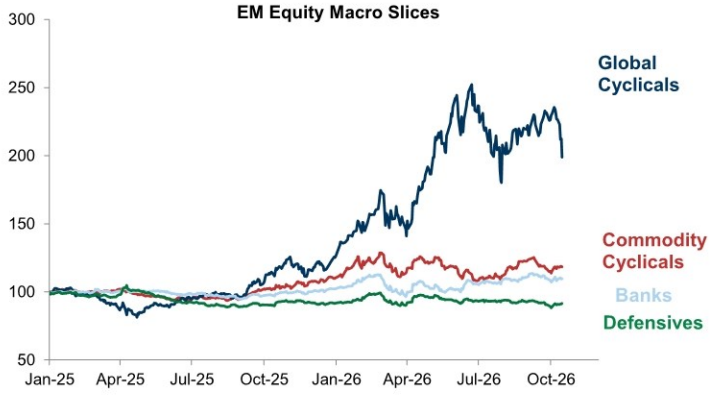
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 21: Cyclicals vs. Defensives



Source: FactSet, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 22: EM Macro Slices Performance



Source: FactSet, Goldman Sachs Global Investment Research

Leaders & Laggards

Exhibit 23: Relative price performance (US$) of MSCI EM markets vs. MSCI EM index

	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	MTD
Brazil	11%	-11%	-19%	-2%	10%	-5%	4%	19%
Chile	5%	-10%	-10%	0%	3%	-1%	-7%	4%
Colombia	20%	-21%	-9%	13%	23%	-9%	2%	12%
Mexico	5%	-12%	-7%	-1%	5%	-3%	-6%	9%
Peru	1%	-18%	0%	2%	7%	-1%	1%	7%
Czech Rep	8%	-11%	-10%	-1%	12%	0%	-6%	6%
Egypt	-8%	1%	-8%	4%	7%	-5%	-10%	2%
Greece	1%	-6%	1%	2%	10%	2%	2%	-4%
Hungary	3%	9%	-8%	5%	5%	-2%	-7%	4%
Poland	6%	-7%	-3%	-5%	13%	1%	2%	4%
South Africa	-6%	-12%	-7%	-5%	3%	8%	-9%	6%
Turkiye	5%	-4%	-18%	3%	0%	5%	-8%	6%
China	6%	-11%	-13%	-6%	12%	-4%	-4%	3%
India	-2%	-5%	-10%	3%	5%	-4%	-6%	7%
Indonesia	-3%	-22%	-23%	-8%	14%	-3%	-7%	5%
Korea	-12%	24%	26%	2%	-14%	3%	3%	-15%
Malaysia	8%	-10%	-11%	-3%	7%	-2%	-4%	4%
Philippines	-2%	-17%	-11%	10%	9%	-11%	-3%	4%
Taiwan	0%	12%	7%	3%	-2%	3%	5%	1%
Thailand	2%	-10%	-4%	0%	3%	-6%	-3%	6%
Kuwait	11%	-11%	-11%	-1%	7%	-3%	0%	2%
Qatar	5%	-12%	-8%	-2%	1%	-4%	-5%	2%
Saudi Arabia	17%	-16%	-11%	-1%	2%	3%	-5%	2%
UAE	-4%	-10%	-11%	5%	4%	-2%	4%	3%

		Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	MTD
Cyclicals	Tech Hardware & Semis	-4%	19%	20%	3%	-10%	2%	6%	-7%
	Software & Services	10%	-13%	-11%	-18%	17%	-2%	-9%	11%
	Capital Goods	-3%	11%	-8%	-6%	-7%	3%	-3%	-7%
	Transportation	4%	-11%	-10%	1%	5%	-5%	-2%	7%
	Autos & Components	-3%	-7%	-4%	-17%	10%	-5%	-12%	2%
	Consumer Retail & Svcs	0%	-10%	-14%	-16%	21%	-7%	-5%	7%
	Media & Entertainment	3%	-16%	-15%	-4%	13%	-8%	-6%	3%
Commods	Energy	14%	-8%	-17%	-9%	12%	0%	-1%	11%
	Chemicals & Other Materials	4%	-4%	-12%	-5%	2%	6%	-5%	9%
	Metals & Mining	-6%	-12%	-8%	-13%	7%	12%	-9%	3%
Financials	Banks	5%	-11%	-11%	2%	9%	-1%	-1%	6%
	Real Estate	-7%	-7%	-8%	-7%	6%	-4%	-3%	5%
	Insurance and other Financials	-1%	-6%	-8%	0%	7%	-1%	-4%	6%
Defensives	Telecom Services	6%	-11%	-10%	-1%	4%	-6%	0%	8%
	Consumer Staples	4%	-11%	-12%	-8%	7%	-4%	-5%	8%
	Utilities	8%	-7%	-14%	-6%	5%	-5%	0%	9%
	Healthcare	4%	-11%	-12%	-4%	9%	5%	0%	0%

Source: FactSet, Goldman Sachs Global Investment Research

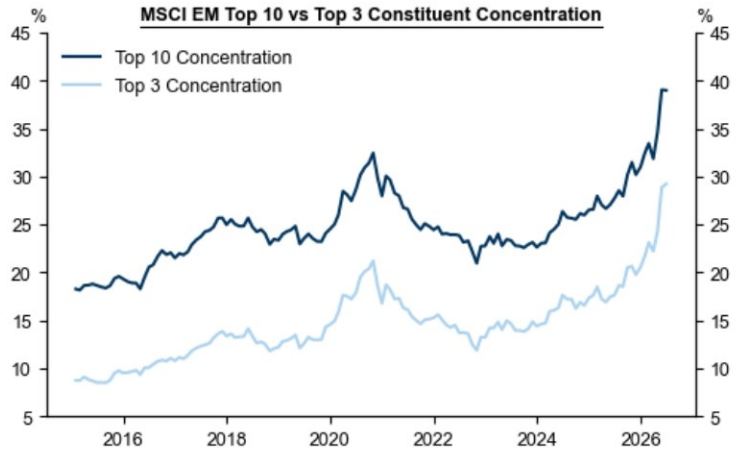
Exhibit 24: MSCI EM (MXEF) Market/Sector Performance (USD, ytd)

Market/Sector (Wgt in MXEF)	MSCI EM (MXEF) Market/Sector Performance (USD, ytd)											
	Energy (4%)	Materials (6%)	Industrials (6%)	Info Tech (41%)	Financials (21%)	Property (1%)	Cons Disc (8%)	Cons Stap (3%)	Comm Serv (6%)	Health Care (3%)	Utilities (2%)	Market (Loc)
China (20%)	16%	-20%	-12%	-12%	6%	0%	-26%	-16%	-31%	10%	-1%	**-16%**
India (11%)	-24%	-10%	-4%	-28%	-15%	-9%	-12%	-22%	-15%	0%	-7%	**-9%**
Taiwan (29%)		158%	13%	63%	52%		-6%	-1%	15%	58%		**66%**
Korea (18%)	39%	-8%	9%	98%	29%		3%	29%	-24%	-16%	-35%	**45%**
Brazil (5%)	104%	3%	19%		24%		72%	11%	1%	15%	33%	**22%**
Saudi Arabia (2%)	6%	-5%		-25%	-2%	8%	20%	-1%	-5%	-13%	-8%	**-2%**
South Africa (3%)		-8%	-2%		2%	-2%	-34%	6%	11%			**-7%**
Mexico		14%	-12%		14%	10%		2%	8%			**9%**
Mexico (2%)		14%	-12%		14%	10%		2%	8%			**9%**
UAE (1%)	3%		-25%		7%	-16%	0%		15%		-4%	**0%**
EM ($)	**13%**	**-1%**	**0%**	**60%**	**7%**	**-7%**	**-20%**	**-7%**	**-23%**	**3%**	**5%**	**15%**

Source: FactSet, Goldman Sachs Global Investment Research

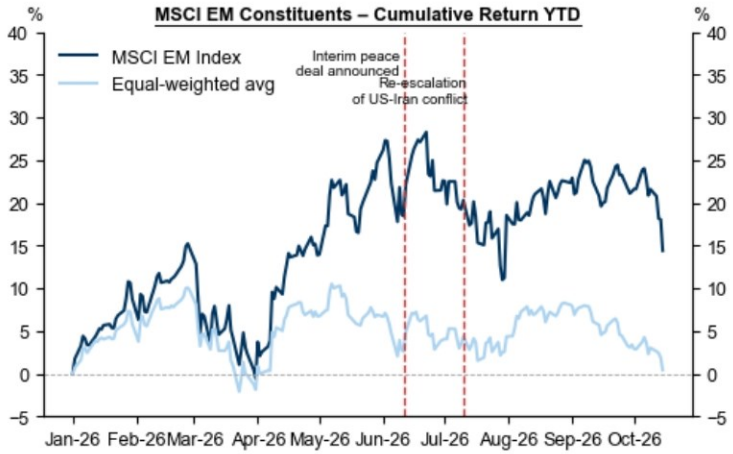
Market Breadth, Concentration and Volatility

Exhibit 25: MSCI EM Top 10 vs Top 3 Constituent Concentration



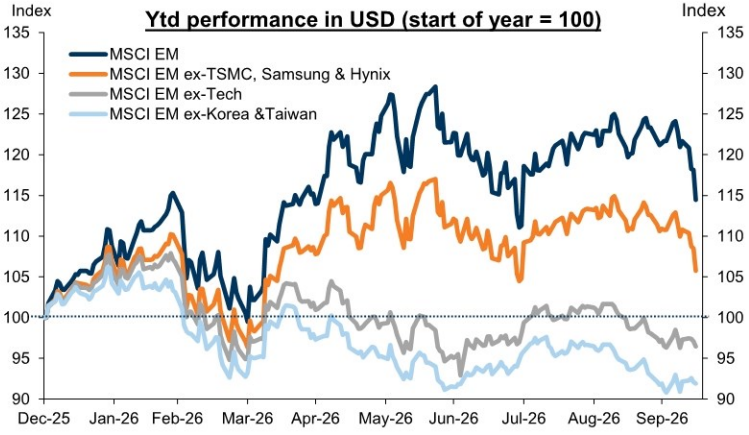
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 26: MSCI EM vs Equal-weighted average ytd return



Source: FactSet, Bloomberg, Goldman Sachs Global Investment Research

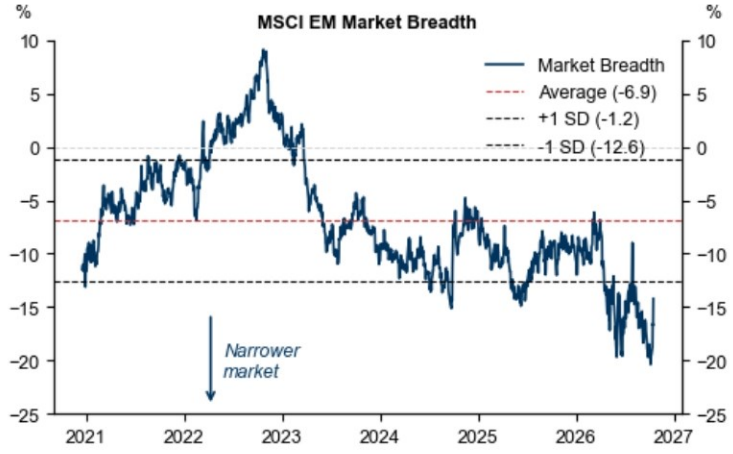
Exhibit 27: The narrow rally in AI/Tech pockets in EM is showing some signs of broadening



Source: FactSet, Goldman Sachs Global Investment Research

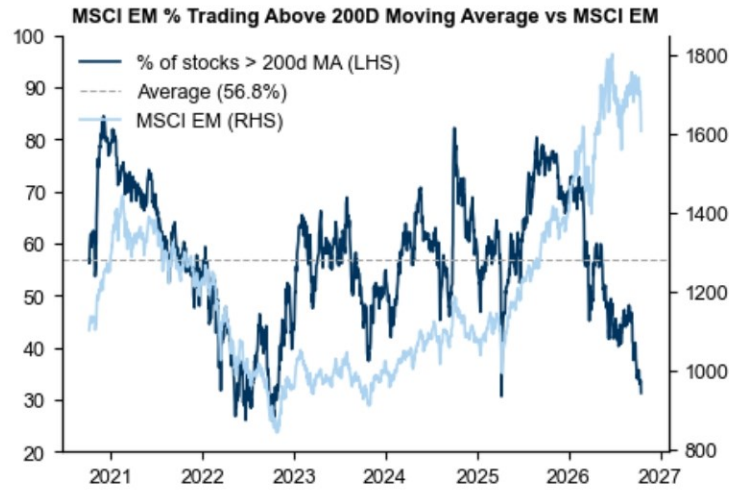
Exhibit 28: MSCI EM market breadth is narrow compared to its historical level

Market Breadth Calculated as the difference between the distance of the aggregate MSCI EM Index from its 52-week high and the distance of the median MSCI EM constituent from 52-week high



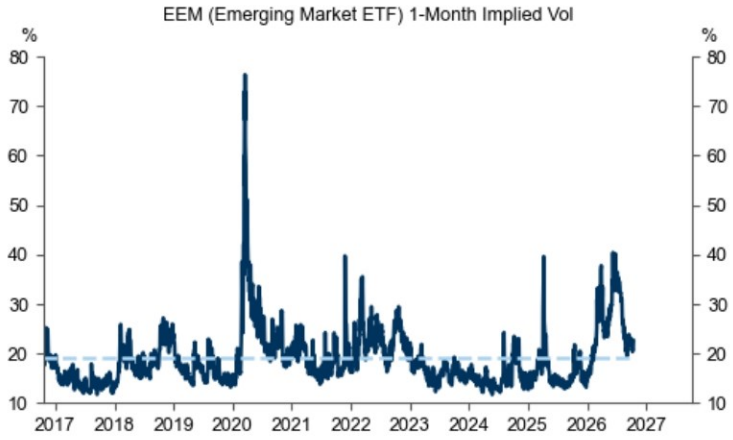
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 29: Share of stocks above 200d moving average is below 5-year average



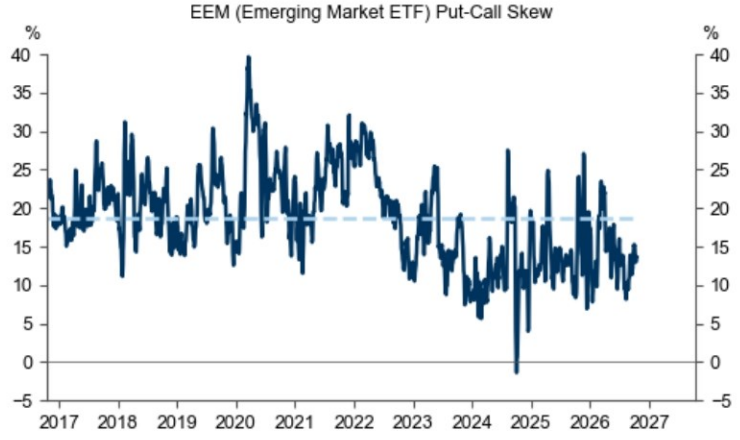
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 30: 1m Option Implied Vol for EEM (Emerging Market ETF)



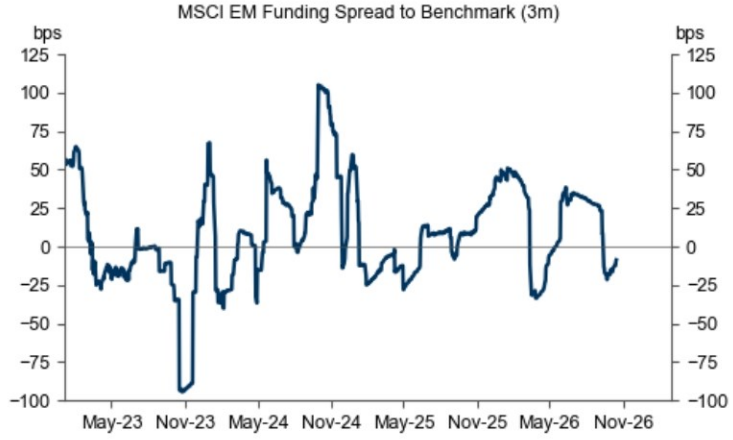
Source: Goldman Sachs Global Investment Research

Exhibit 31: Put-Call Skew for EEM (Emerging Market ETF)



Source: Goldman Sachs Global Investment Research

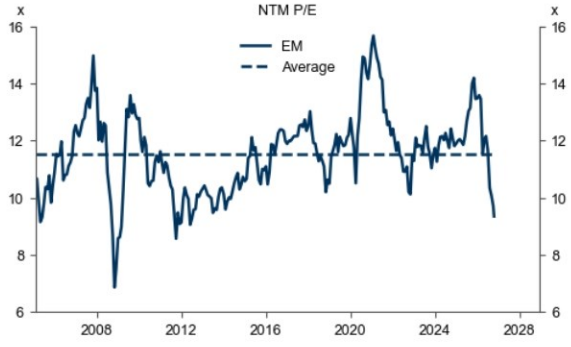
Exhibit 32: MSCI EM Funding Spread



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

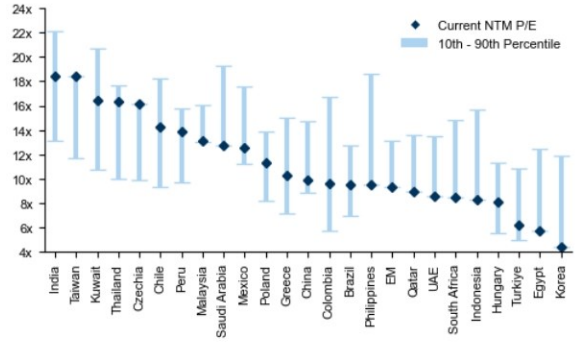
Valuations in Context

Exhibit 33: MSCI EM valuation has edged down recently



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 34: Valuation dispersion persists across EM markets



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 35: Valuation Z-score Markets

	Current			Z-Score [10-years]			
	PE	PB	DY	PE	PB	DY	Average
Indonesia	8.3	1.6	8.4	(3.0)	(2.5)	(3.3)	(2.9)
Qatar	9.0	1.3	5.2	(2.2)	(1.8)	(1.9)	(2.0)
Philippines	9.5	1.6	3.4	(1.7)	(1.1)	(2.1)	(1.6)
Egypt	5.8	1.9	4.8	(0.9)	(0.7)	(2.0)	(1.2)
Saudi Arabia	12.8	2.0	4.2	(1.6)	(0.4)	(1.3)	(1.1)
Malaysia	13.2	1.5	4.2	(1.2)	(0.5)	(1.2)	(1.0)
China	9.9	1.4	2.4	(1.0)	(1.0)	(0.9)	(0.9)
South Africa	8.5	2.1	4.3	(1.1)	0.4	(1.8)	(0.8)
India	18.4	3.1	1.4	(0.8)	(0.7)	(0.9)	(0.8)
Mexico	12.6	2.4	4.0	(0.5)	1.1	(1.4)	(0.3)
UAE	8.6	1.6	4.9	(1.0)	0.9	(0.6)	(0.2)
Thailand	16.4	2.1	3.4	0.1	0.7	(1.1)	(0.1)
Kuwait	16.4	2.0	3.5	(0.1)	0.2	(0.4)	(0.1)
Hungary	8.1	1.6	3.6	0.0	1.0	(1.1)	0.0
Turkiye	6.2	1.1	2.1	0.2	(0.7)	1.0	0.2
Greece	10.2	1.6	3.2	0.2	0.9	(0.3)	0.2
Korea	4.4	2.1	0.9	(3.0)	2.1	2.3	0.5
Brazil	9.6	2.1	4.7	(0.1)	1.2	0.4	0.5
Chile	14.2	2.2	3.1	0.3	2.1	0.4	1.0
Colombia	9.6	2.0	4.4	0.1	2.9	0.2	1.1
Poland	11.4	2.2	3.7	0.5	3.5	(0.5)	1.2
Peru	13.8	3.8	3.1	0.7	3.0	0.0	1.2
Czechia	16.2	2.5	5.3	1.3	1.9	0.6	1.3
Taiwan	18.4	6.1	1.3	1.3	3.7	2.2	2.4
EM	9.4	2.4	2.0	(2.5)	2.3	1.4	0.4

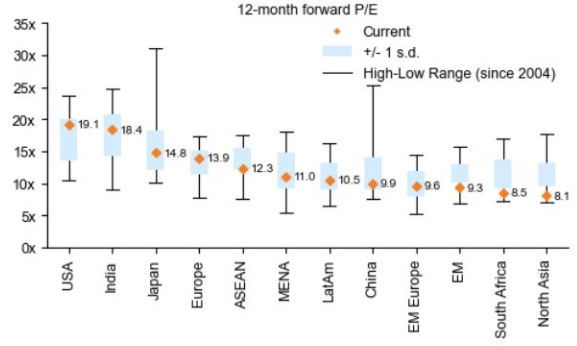
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 36: Valuation Z-score Sectors

	Current			Z-Score [10-years]			
	PE	PB	DY	PE	PB	DY	Average
Consumer Staples	17.1	3.2	3.4	(2.1)	(1.8)	(3.3)	(2.4)
Consumer Discretionary	11.5	1.7	1.6	(1.2)	(1.4)	(1.6)	(1.4)
Communication Services	12.7	2.4	2.1	(1.7)	(0.6)	(0.2)	(0.8)
Health Care	26.3	4.1	1.0	(0.3)	0.3	(0.4)	(0.1)
Real Estate	9.2	1.0	4.0	0.3	(0.4)	(0.1)	0.0
Industrials	10.1	2.1	1.7	(1.3)	1.5	0.8	0.3
Utilities	12.6	1.4	3.4	0.8	1.0	(0.5)	0.4
Information Technology	8.0	5.3	0.9	(3.1)	2.5	1.9	0.5
Materials	10.7	2.0	2.9	(0.2)	1.4	0.6	0.6
Energy	8.9	1.4	4.4	0.1	1.7	0.5	0.7
Financials	9.2	1.3	3.7	0.9	1.3	0.0	0.7

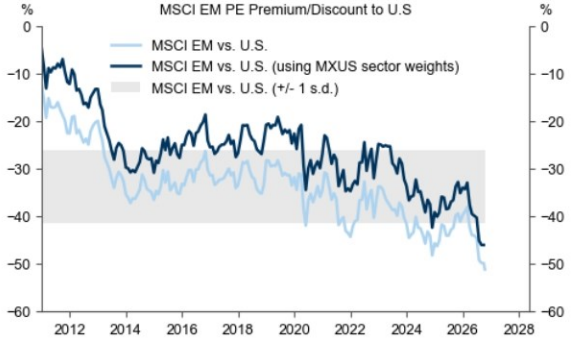
Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

Exhibit 37: EM valuations have reset to 10-year average levels and remain at a wide discount to US and other key DM regions globally



Source: FactSet, Goldman Sachs Global Investment Research

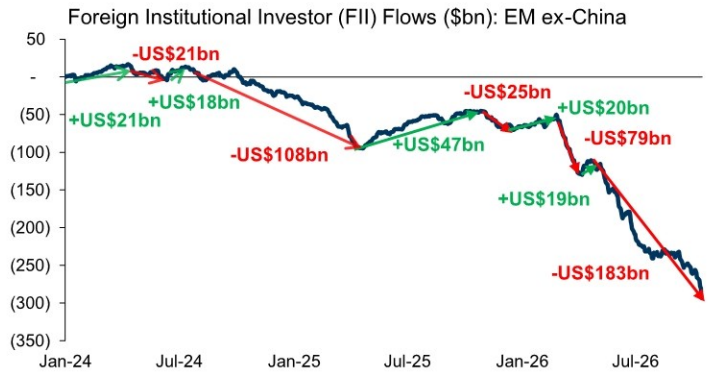
Exhibit 38: EM equities trade at a discount to US equities, even on a sector-adjusted basis



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Fund Flows and Liquidity

Exhibit 39: FII flows cycle



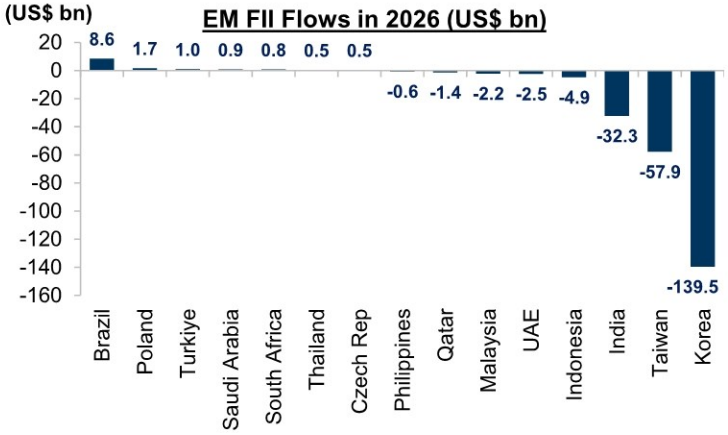
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 40: FII flows by market

FII flows (US$ bn)								
Markets	2021	2022	2023	2024	2025	2026YTD	1m	1w
EM Asia								
Korea	(20.1)	(22.8)	10.1	1.7	(3.9)	(139.5)	(21.4)	(8.3)
Indonesia	(3.2)	2.7	(0.3)	1.4	(1.1)	(4.9)	(0.7)	0.0
India	23.4	3.8	21.4	(0.8)	(18.8)	(32.3)	(6.9)	(0.1)
Philippines	(2.5)	(0.0)	(0.9)	(0.4)	(0.9)	(0.6)	(0.2)	(0.0)
Malaysia	(5.8)	(0.8)	(0.5)	(0.9)	(5.2)	(2.2)	(0.4)	(0.1)
Thailand	(8.3)	(1.6)	(5.5)	(4.4)	(3.2)	0.5	(1.0)	0.1
Taiwan	(16.0)	(15.3)	6.5	(19.7)	(7.6)	(57.9)	(15.0)	(19.2)
EMEA								
Poland	(0.4)	0.5	0.5	1.1	(4.1)	1.7	-	-
Czech Rep	0.2	0.0	0.8	1.6	0.8	0.5	-	-
Turkiye	(0.2)	(1.4)	1.4	(2.6)	2.4	1.0	(0.2)	-
South Africa	(7.4)	(10.3)	(8.3)	(7.9)	(12.4)	0.8	-	-
Saudi Arabia	5.3	6.5	3.8	6.2	6.3	0.9	(0.0)	-
UAE	(0.4)	4.0	(1.9)	5.7	2.3	(2.5)	(0.1)	(0.0)
Qatar	0.2	1.6	0.4	(0.7)	0.2	(1.4)	(0.9)	0.0
LATAM								
Brazil	(9.7)	(1.2)	9.2	(6.6)	4.8	8.6	4.1	0.4
EM	(45.0)	(34.4)	36.7	(26.2)	(40.3)	(227.2)	(42.7)	(27.1)

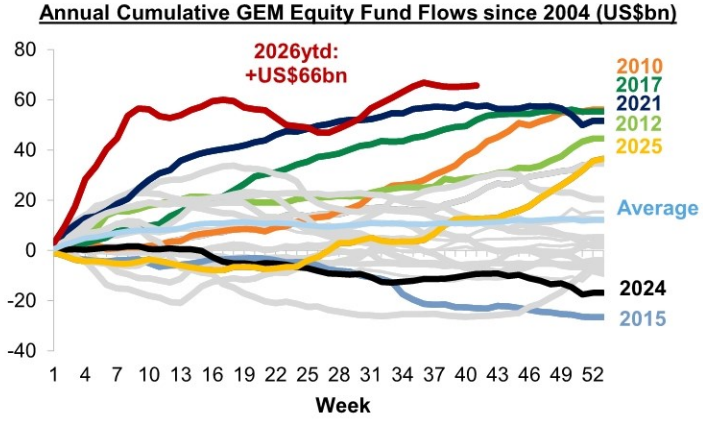
Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Exhibit 41: EM markets have seen significant foreign selling since the Iran war started



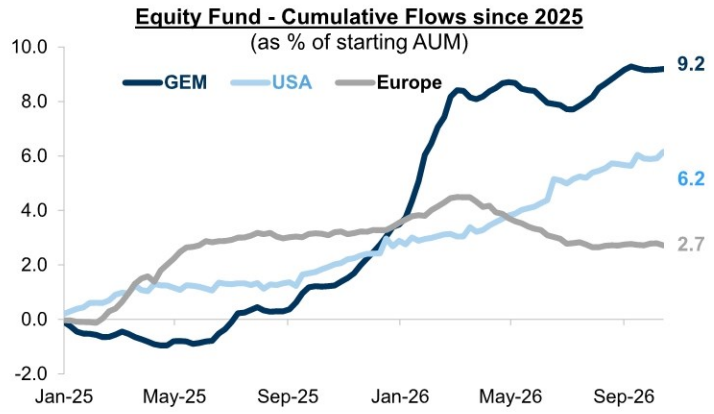
Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Exhibit 42: GEM funds marked the fastest annual pace of buying over the past two decades, but have seen outflows in recent weeks



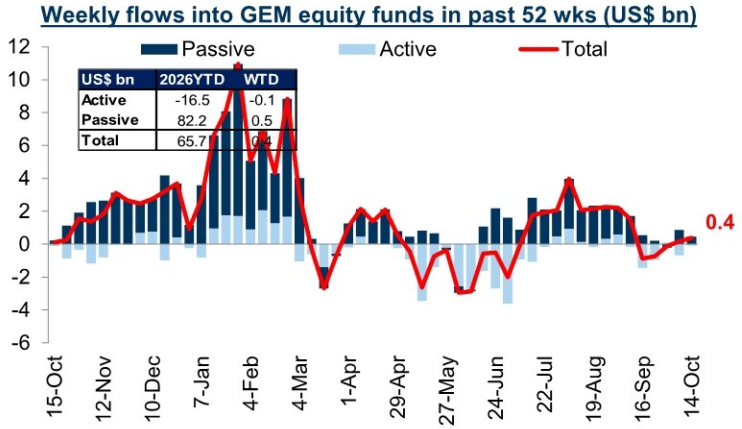
Source: EPFR, Goldman Sachs Global Investment Research

Exhibit 43: Cumulative funds flows



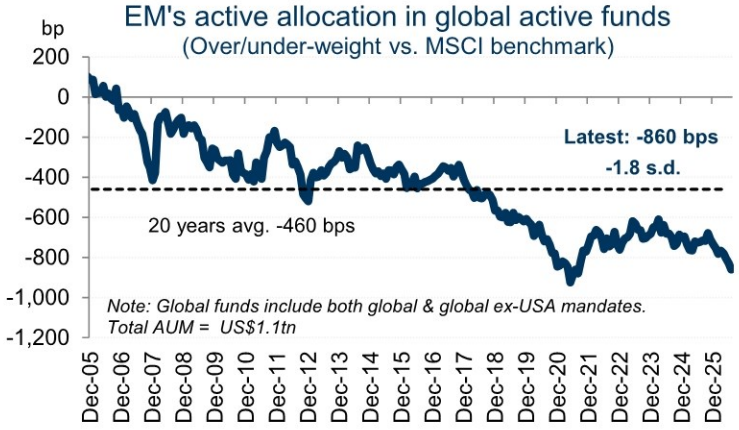
Source: EPFR

Exhibit 44: GEM equity funds flows (active vs passive)



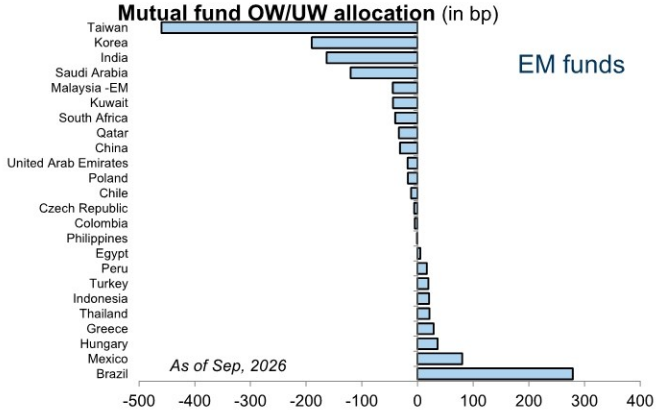
Source: EPFR

Exhibit 45: Global mutual funds still have large underweight allocations in EM



Source: EPFR, Goldman Sachs Global Investment Research

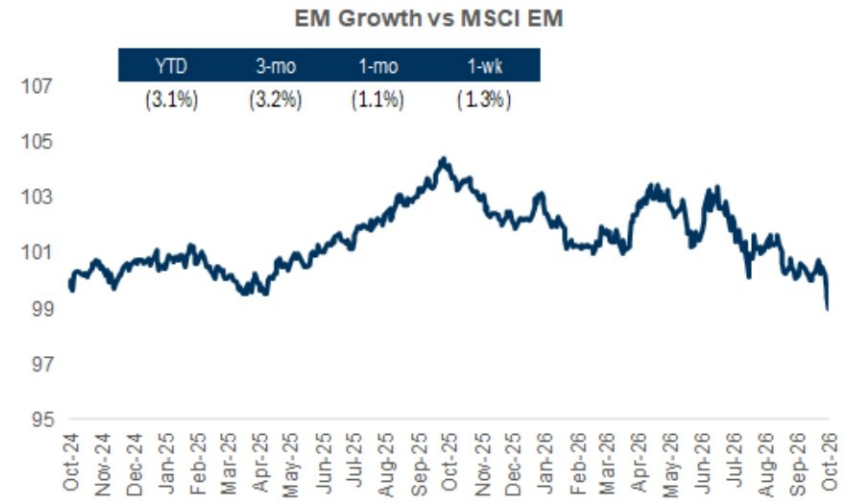
Exhibit 46: EM mutual funds are most UW Taiwan, Korea and India, and most OW Brazil and Mexico

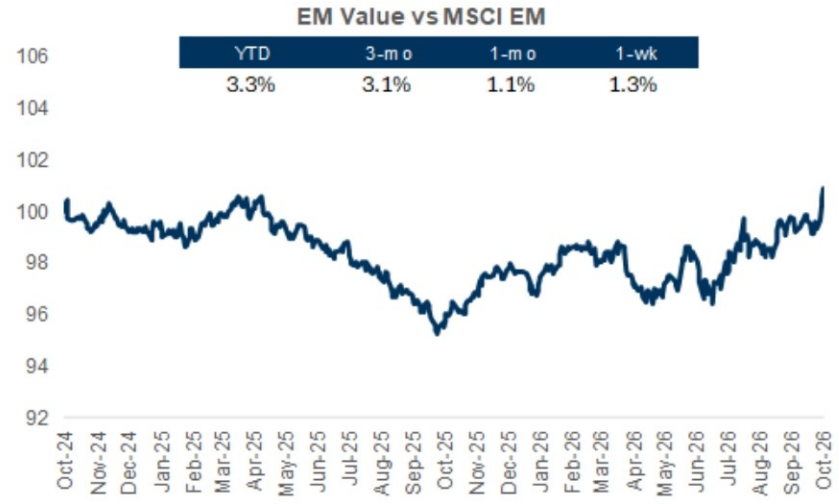


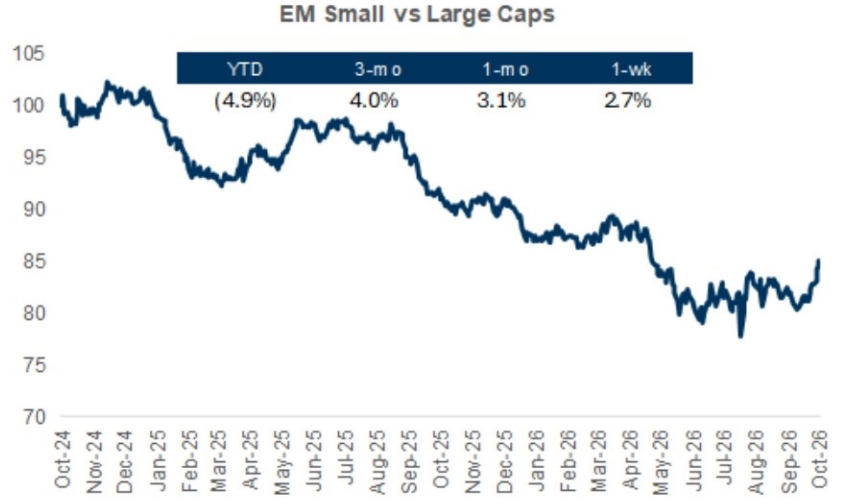
Source: EPFR, Goldman Sachs Global Investment Research

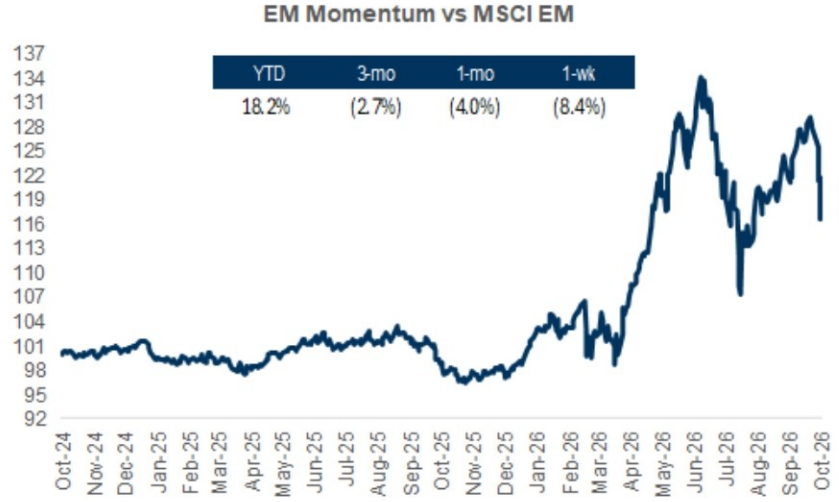
Style Monitor

Exhibit 47: EM factor/Style performance





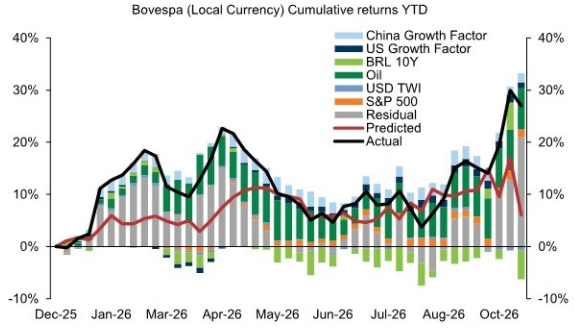




Source: FactSet, Bloomberg, Goldman Sachs Global Investment Research

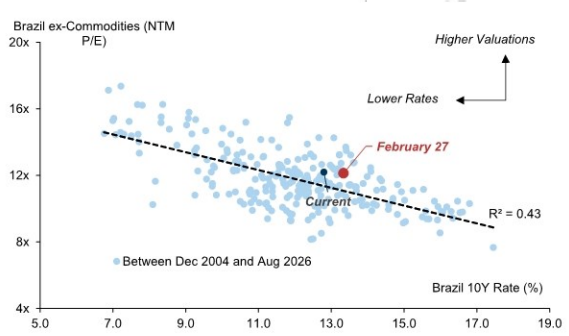
Brazil Rate Sensitivity

Exhibit 48: Bovespa returns decomposition



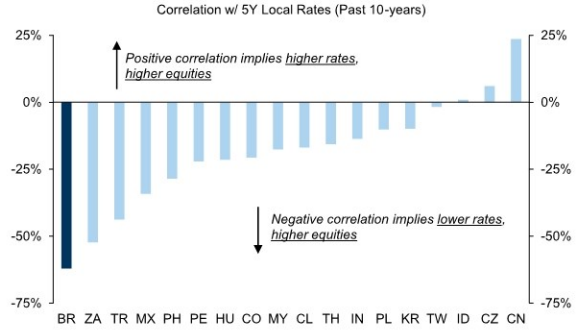
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 49: Equity valuations appear roughly fair relative to 10-year rates



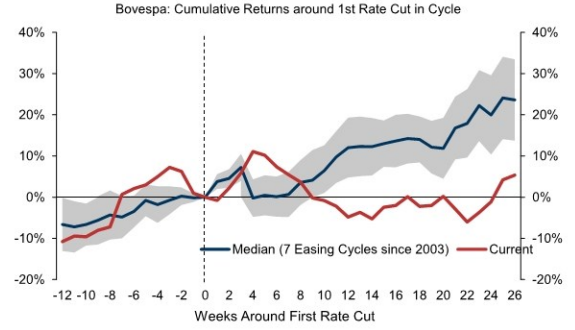
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 50: Brazil equities have the highest negative correlation to local rates in EM, with lower rates implying higher equities...



Source: FactSet, Goldman Sachs Global Investment Research

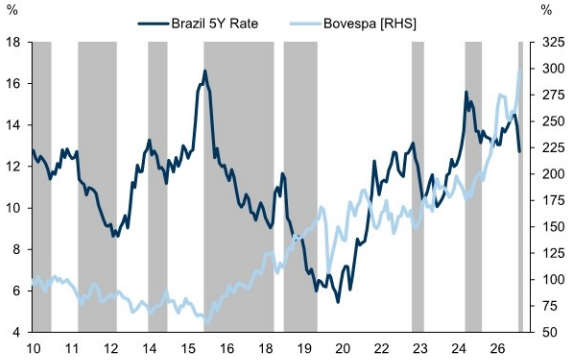
Exhibit 51: ...and have tended to rally strongly following the first rate cut in past cutting cycles



The grey area shows +/- 0.5 standard deviation bands.

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 52: Brazilian equities have performed well during episodes of declining 5Y rates...



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 53: ...with rate-sensitive pockets and domestically exposed stocks outperforming the headline index (about 2-3x on average)

Period	Chg in 5Y [bp]	Bovespa	GSCBBZEN [ex-commodities]	Div Yield	GSBZRATE [rate sensitives]	Div Yield	BRL/USD
Jan-10 — Aug-10	-203	0%	1%	1%	0%	1%	6%
Jul-11 — Nov-12	-298	-2%	2%	3%	14%	3%	-36%
Jan-14 — Aug-14	-250	29%	24%	1%	18%	2%	8%
Dec-15 — Apr-18	-639	99%	59%	5%	84%	6%	12%
Sep-18 — Oct-19	-556	35%	63%	2%	79%	2%	-1%
Feb-23 — Jun-23	-270	13%	25%	1%	39%	1%	8%
Dec-24 — Jun-25	-170	15%	29%	1%	42%	2%	12%
Median	-270	15%	25%		39%		8%

GSCBBZEN and GSCBBZRATE developed by Goldman Sachs Global Banking & Markets

Source: FactSet, Bloomberg, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

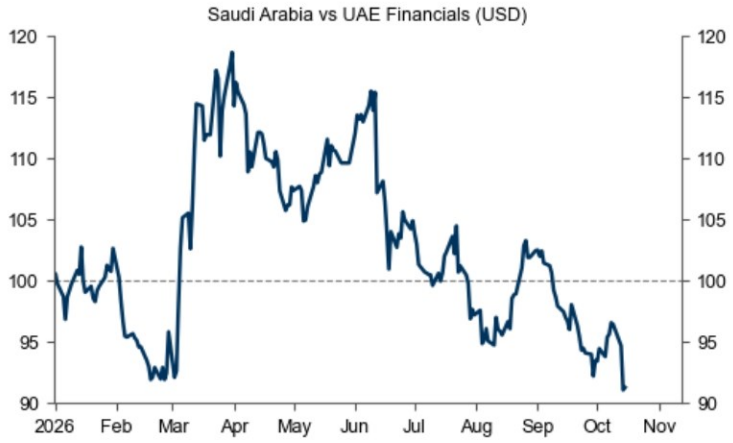
CEEMEA Implementations

Exhibit 54: Greece and Hungary banks vs. Polish banks



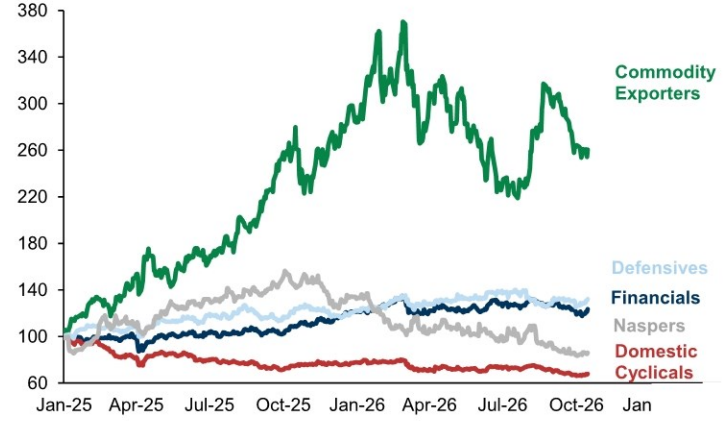
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 55: Saudi Arabia financials vs. UAE financials



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 56: The rally in South African equities since 2025 has been led by Miners, while the domestic market has been largely flat



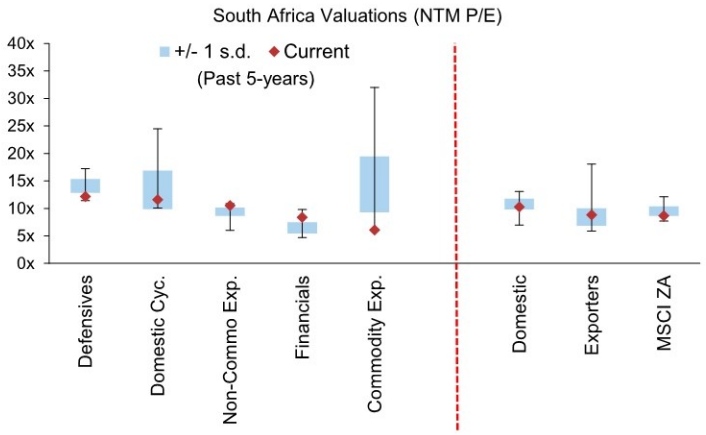
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 57: South Africa Domestics vs. Exporters



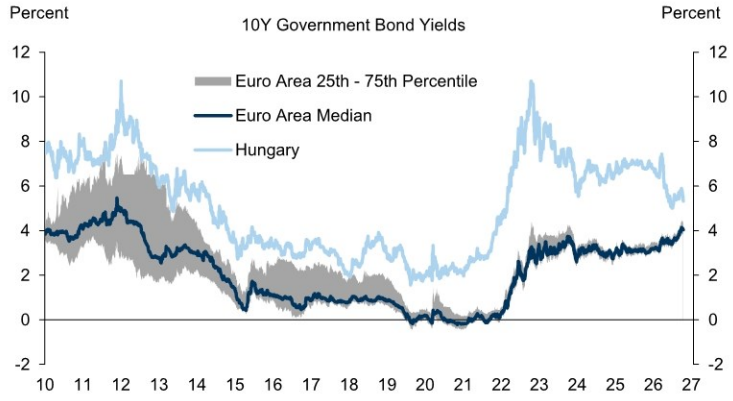
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 58: South Africa Macro Slice Valuations



Source: FactSet, Goldman Sachs Global Investment Research

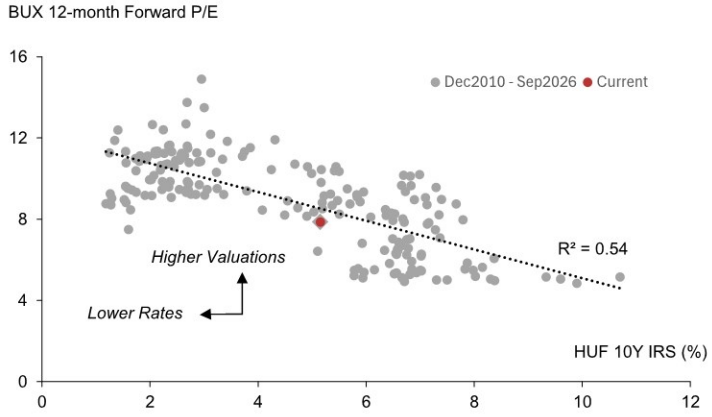
Exhibit 59: Hungarian rates remain elevated compared with Euro area members despite the recent rally, and will need to move lower to converge



Note: The Euro area sample excludes Estonia, Luxembourg and Malta due to data availability.

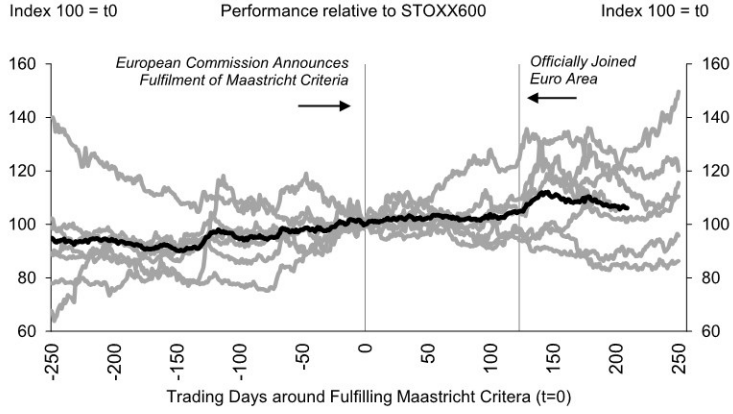
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 60: While equity valuations in Hungary appear to be trading roughly in line with current 10-year rates, further compression in rates supports higher valuations



Source: FactSet, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 61: History suggests a limited equity market effect from formal announcement of fulfilment of Maastricht criteria, but a positive and temporary boost after officially joining the Euro area



The sample of Euro area joiners include Malta, Slovenia, Estonia, Latvia, Lithuania, Croatia and Bulgaria

Source: Bloomberg, Goldman Sachs Global Investment Research

Macro Forecasts

Exhibit 62: GS Macro forecasts

	GDP growth					Inflation					Policy rate				
	2025	2026		2027		2025	2026		2027		Current	2026		2027	
	Actual*	GS	Cons	GS	Cons	Actual*	GS	Cons	GS	Cons		GS	Cons	GS	Cons
Brazil	2.3	1.8	1.9	1.0	1.5	4.3	5.1	4.5	4.5	4.3	13.8	13.8	13.5	12.0	11.8
Chile	2.5	0.3	1.0	2.9	2.7	3.4	4.8	3.7	2.9	3.2	4.5	4.5	4.5	4.2	4.5
China	4.9	4.5	4.6	4.6	4.4	0.1	0.8	1.0	0.6	1.1	1.4	1.4	1.6	1.3	1.4
Colombia	2.6	2.5	2.5	2.3	2.4	5.1	6.8	6.0	4.8	5.4	12.2	12.2	12.3	11.2	11.1
Czech Republic	2.7	1.8	2.1	2.4	2.4	2.4	2.1	2.0	1.9	2.6	3.8	3.8	3.9	3.0	3.7
Hungary	0.4	2.2	1.9	2.8	2.6	4.4	1.7	1.9	1.8	2.8	5.5	5.0	5.1	3.0	4.3
India	6.5	7.5	7.5	7.1	7.1	4.7	2.2	2.0	5.1	5.1	6.3	5.3	5.7	5.8	5.8
Indonesia	5.1	5.1	5.2	4.7	5.0	1.9	3.3	3.3	2.6	3.0	5.8	6.0	5.9	6.2	5.7
Israel	3.7	3.1	3.5	4.3	4.4	3.0	1.8	1.8	1.9	1.9	3.2	3.0	3.1	2.8	3.0
Malaysia	5.2	5.3	5.2	4.7	4.8	1.4	2.0	2.0	2.4	2.0	2.8	2.8	2.9	3.0	2.9
Mexico	0.5	1.4	1.4	1.8	1.8	3.7	3.9	3.8	3.8	3.8	6.5	6.5	6.5	6.5	6.6
Peru	3.4	3.2	3.0	2.7	3.3	1.5	4.5	3.8	2.4	2.8	4.2	4.5	4.5	4.2	4.5
Philippines	4.4	3.0	3.2	4.5	5.0	1.6	5.8	5.7	4.5	4.0	5.0	5.5	5.3	5.5	5.1
Poland	3.6	3.5	3.5	3.6	3.0	3.8	3.0	3.1	2.1	3.1	3.8	3.8	3.8	3.5	3.6
Romania	0.8	-0.9	-0.5	2.6	2.2	7.3	8.4	8.2	4.0	4.3	6.5	6.5	6.5	4.5	5.4
Russia	1.0	0.2	0.8	1.3	1.1	8.7	6.0	6.1	5.2	5.2	14.0	13.5	13.7	9.8	11.0
South Africa	1.1	1.2	1.1	1.6	1.5	3.2	4.3	4.3	3.4	3.8	7.2	7.2	7.2	6.2	6.7
South Korea	1.1	3.2	3.5	2.5	2.5	2.1	2.6	2.7	2.1	2.2	3.0	3.0	3.2	3.2	3.4
Thailand	2.4	1.8	2.2	1.4	2.0	-0.1	1.9	2.0	1.6	1.5	1.0	1.0	1.0	1.0	1.1
Turkey	3.6	2.7	2.8	3.6	3.6	34.8	31.0	31.0	24.9	24.0	37.0	37.0	35.6	29.0	28.0

* We take GS forecast if actual not available.

Light blue cells indicate GS forecast above Bloomberg (median) consensus, grey cells indicate GS forecast below Bloomberg (median) consensus. For GDP and inflation, annual average data are used for GS forecasts and consensus. For India, GDP and inflation data are referred to fiscal year (2026 is India FY2026). For policy rates, end-of-year data are used for GS forecasts and consensus.

Source: Goldman Sachs Global Investment Research, Bloomberg

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